COREWEAVE INC CRWV S

October 27, 2026 - 2:54pm EST
by pcm983

			2026	2027
Price:	59.77	EPS	0	0
Shares Out. (in M):	550	P/E	0	0
Market Cap (in $M):	33,000	P/FCF	0	0
Net Debt (in $M):	59,000	EBIT	1,000	4,300
TEV (in $M):	92,000	TEV/EBIT	92	21
Borrow Cost:	General Collateral			

Description

Coreweave is one of the most compelling shorts I have come across in the past few years. The credit markets are pricing in serious financial issues with the company, but despite a recent sell off, the equity market is still pricing in very rosy assumptions, largely because of the anchoring effect caused by an irrational price for much of the last 18 months, despite an IPO that almost did not go through at all.

My variant view on Coreweave is twofold:

One I believe the market is valuing it like a technology company, when in reality it is effectively much more akin to a CLO origination business or an ABS origination business.

Two, I believe the credit markets are pricing in financial distress, whereas the equity markets are still pricing in massive equity value at a $33+bn equity value. I believe the company now faces a very difficult choice - either bend to the credit markets' will and slow down growth, or accept massive equity dilution.

I will spare too much detail on what the business does, since I will assume most are familiar with the core concepts of what they do. They raise a mix of debt and equity to fund data center buildouts for AI workloads, and lease these data AI data centers to AI customers including frontier labs, neolabs, AI startups, trading firms, and generic F500 type clients.

The core business that they are in is raising funding to build out AI data centers, building out the infrastructure (minus the boxes which they lease), and operating the assets. It is important to note that the business is asset lite in many ways - the company does not own the data center assets, and at least at the beginning of a new build, does not own the chips either since those are pledged to the SPV debt facility. The CEO of the business likes to say that he has a “box” strategy, meaning that each project is financed separately and independently, and that there is often no parent guarantee (this isn’t quite accurate because many of the earlier securitizations do in fact have parent guarantees). So in essence, Corweave is in the project finance business. The parent company mostly holds residual claims on the equity on these various AI data center SPV assets.

There has been a lot of recent ink spilled about some of Coreweave’s debt trading at elevated yields. Some of their unsecured corporate debt is yielding 15+%. The bulls say not to worry because the secured box level debt is still trading at lower yields. The bears say this is very bad because the credit markets view the business as distressed. While it is fair to note that the box level debt is not distressed (at least not yet), largely due to the collateral in the box, and the contract cashflows which go to paying down debt first and only later to the residual equity holders (CRWV Parent Co). The principal issue I want to cover is that the CRWV has been using debt issued by the parent co (and some equity with their recent ATM offering) to fund their equity commitment for each new box. For the typical box, lenders are generally OK with 80-90% loan to cost, so the balance needs to be sponsor equity. Coreweave has essentially no free cash flow at the parent, because the majority is trapped in the boxes because it has to go to paying down secured box-debt first. Thus the company is reliant on raising funding to fund its equity commits.

One important point on financing: in its 10/19 upgrade of CRWV, the GS analyst astutely noted that not only is the unsecured debt market closed to CRWV, but it has actually been closed to them for several months. This explains why after 2Q earnings they began an At The Money offering program, something you rarely see from liquid large cap companies.

Here is the excerpt:

“Importantly, our discussions suggest that CoreWeave's unsecured spreads (currently at 13.5-15.0% YTW) are not representative of what CoreWeave's true cost of new debt is; in fact, the unsecured bond market has already been closed to new CoreWeave issuance for several months.”

In a follow up note, the GS analyst did some calculations on how much incremental new debt and cash SPV contributions are required to fulfill CRWV's existing backlog. The analyst estimated the company needs $37bn of new debt and $12bn of cash SPV contributions. I believe that for a parentco entity which the market has already decided is distressed it may still be hard to issue an incremental $37bn of net new debt, because at some point the new secured debt providers will wonder what happens if the parentco doesn't make it or gets taken over by someone else - who manages their box?

The analyst then calculates that the company has $10.4bn of cash on hand adjusting for the capital raises conducted post 2Q earnings and accounting for a full revolver drawdown; excerpt below:

"We then calculate cash on hand of $10.4bn vs. the $12bn needed. This includes available cash on hand of $5.5bn as of 2Q26 (minus a cushion of $3bn equal to GSe 2027/2028 opex), the net cash from September convertibles, the $2bn revolver, and the 35mn ATM share offering at an assumption of $64 (10/20 close). We believe the remaining $1.6bn would need to come from customer prepayments, vendor financing, or operating cash flow from the installed base post debt servicing."

So in other words, after accounting for drawing down on the full revolver, the company is still a few billion short it would need to make up from other cash sources, possibly additional customer prepayments.

I think the analyst is being overly sanguine that lenders will continue to give similar terms as before when the credit markets have all but seized up even for the likes of Elon Musk. SpaceX is reportedly borrowing $40bn at ~8%, and that's for a business with a $2 trillion market cap, and many would argue the world's greatest entrepreneur. Further, Broadcom CEO Hock Tan had to personally intervene to get Anthropics' recent $63bn debt raise across the finish line.

"In the end, Broadcom's CEO held 11th-hour talks with bank executives over the weekend to get them to finalize their commitment to the deal and also agreed to higher interest rates on the loans, the people familiar with the matter said."

https://www.wsj.com/finance/broadcom-ceo-intervened-to-seal-63-billion-anthropic-debt-deal-c807754f

Elon Musk himself self-interestedly posted:

"Pretty much.

As of the past few weeks, debt markets have almost entirely shut off access to money for any company that doesn't have substantial revenue independent of AI data centers.

SpaceX closed $40B of debt for GPUs, but we're investment grade and have Starlink & launch revenue.

That means the 200+ neoclouds are going to see guppy-level death and consolidation. Some will make it through, but not many."

Now obviously Elon Musk is talking his own book, but what he's saying seems pretty sensible to me. The core neocloud business as I see it is one of installation/execution/operation and financing/financial engineering. Elon Musk is the best in the world at both of those categories - and he just said on the recent SpaceX earnings call he is making a play to own the entire compute market essentially, promising:

"Musk is "fairly confident" the company will bring online another 10 gigawatts of computing power in 2027, he said, and there is a "nonzero possibility" SpaceX has more than 20 gigawatts online by the end of next year."

https://www.morningstar.com/news/marketwatch/20261021223/spacexs-massive-ai-targets-will-test-the-limits-of-reality

So the man with the lowest cost of capital in the world and arguably the best engineer in the world, is aggressively ramping up his compute production, while legacy neoclouds are stuck with a huge inventory of older chips, and much higher costs of capital.

What lender is now going to extend new credit at favorable terms to neoclouds forced to compete with Elon with smaller balance sheets and worse costs of capital?

In terms of valuation, it appears no one has a sensible valuation methodology because the business is in essence a series of call options on the shortage of compute, and in essence an extremely highly leveraged bet on the shortage continuing indefinitely.

GS values the business based on: “price target is $106, based on 18x SNTM EBIT (Q5-Q8)”. That is my first time hearing of SNTM which apparently means the second next twelve months, aka two years out. The reality is there is no financial logic for where the business trades today, and it has very little connection to the actual cash flows of the business.

In every financial blowup there is usually one defining interview, that in retrospect makes everyone question what everyone was thinking at the time. In this case, I believe it is an interview with Coreweave co-founder and Chief Development Officer, Brannin McBee.

https://www.ft.com/content/4ffa1853-0e2c-424f-b941-88c6bcac5765?syn-25a6b1a6=1

“CoreWeave targets ‘unlimited’ insurance money to fund AI build-out”

In it he admits two main things: 1) they need new sources of financing because their existing sources are tapped out 2) he views the insurance companies as the patsies at the table, and intends to tap them for funding.

There were a few gems:

Brannin McBee, a co-founder who leads CoreWeave’s financing efforts, said winning investment-grade ratings for more of its chip-backed debt, and eventually the company itself, would allow it to borrow from insurers whose capital “is unlimited. Like, that’s all the money in the world that sits in the insurance tranche.”

“Will we do more [delayed draw term loans]? Absolutely,” McBee said. “I don’t look at that as scary debt at all. I look at that as accelerating debt and great debt.”

Target price / valuation:

Valuing a business like this is much more art than science. My current estimate of Fair Value is in the $10-$15 range, which accounts for what I see as likely additional equity dilution and highly elevated financial risk implied by current distressed levels of the bonds. At the midpoint, it’s about $7.5bn FD equity market cap, which seems fair - I think with highly elevated financial risk, the business becomes much more of a call option on fighting through the distress. To look at it another way, book value at 2Q26 was about $5bn. I think 1-2x book value for what I view as a distressed bank for compute is pretty reasonable. One note on the debt - management likes to tout the box strategy and that much of the debt is non-recourse - this doesn’t really reflect the current reality - almost 50% of debt is recourse, and further, if any one box fails I think it threatens the future of the growth strategy regardless. The reason the corporate debt has begun trading at distressed levels is that most of the assets sit in SPV’s, so the corporate parent has much more limited collateral.

B/S Highlights	6/30/2026
Cash + Equivalents	5,524
Restricted cash and cash equivalents, current	873
Marketable Securities	15
Restricted cash and cash equivalents, non-current	
Recourse Debt, Current	6,235
Non-recourse Debt, Current	1,278
Operating Leases, Current	584
Deferred revenue, current	2,686
Recourse debt, non-current	25,170
Non-recourse debt, non-current	2,385
Deferred revenue, non-current	7,006
Operating Leases, Non-Current	15,735
9/18/26 Convertible Offering @ 2.875%	3,700
Total Recourse Debt	35,105
Total PF Debt	71,014
Recourse Debt % of Total	49%
ATM Offering, 35mm max shares	~ 2bn

Where can I be wrong?

I've thought long and hard about where I might be wrong. At this stage of the game, I think the main risk is a bailout by Jensen or Trump, or maybe an acquisition by a hyperscaler. I view an acquisition as very unlikely - it reminds me of the game theory of the banks when First Republic was on the ropes - yes anyone could have bought them, but why not wait until they are much more deeply distressed?

I can say many reasons why Jensen may not be incentivized to do a bailout, at least yet, but it's still a real possibility I will not discount out of hand. That said, I view the risk reward very favorably, and also believe any bailout would not happen without much more pain first.

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Catalyst

I believe next month's 3Q earnings is where the rubber meets the road. Management will be forced to either lower future growth expectations or accelerate future dilution plans/expectations, both of which I think are very negative for the equity. In my eyes, a growth story is becoming a distress story, and usually that's the juiciest part of the short.

Messages

Subject good interview to watch that explains the model
Entry 10/27/2026 02:58 PM
Member pcm983

https://www.youtube.com/watch?v=-JBhTBu9ZbA&t=37s

Subject Re: good interview to watch that explains the model
Entry 10/27/2026 03:47 PM
Member Cries

Idk, the SPV loans are holding up quite well, no? You seem to imply they are distressed and unable to access capital, but I think the $100B+ of SPV compute deals announced this week is an indicator that the market for SPV debt is still open, but the pricing has moved wider.

I think what this writeup has missed is that everyone who buys the GPU SPV debt is not underwriting the sponsor's credit profile at all. Its all about the lessee's credit profile. So they view it as a way to lend to Microsoft, Meta, IBM, Oracle, Google at much wider spreads because all of the cashflows come from the lessees & coreweave existing is not relevant to the payoff profile not debt servicing. Feels like they should be able to continue printing these SPVs as long as they keep providing longterm leases from hyperscalers. I dont think anything has changed here, and the latest prices on their SPV loans imply nobody is really worried?

I do agree there is real trouble at the equity layer & unsecured layer (which is just another way to raise capital at the parent without diluting the equity) and your thesis may be correct, but its not a BV thing. Feels like a cop out because its too time consuming to actually NPV the cashflows to determine a fundamental value.

It will be hard for them to raise more unsecured debt, but it doesnt seem like its needed to hit the funding targets you laid out? I mean people already lend 70%+ at the SPVs, and so the balance sheet cash and a modest equity raise should get them there. I dont see the distress here; but I do see unsecured holders starting to correctly value their holdings as more equity-like than they previously were. I think this may just be the right price for unsecured equity-like sub debt in these structures? It should correctly be priced like teens-to-twenties equity returns given the deep subordination. The anomaly was people lending at 6%, but teens returns sound exactly right for this?

Subject easier ways to make a living?
Entry 10/27/2026 04:22 PM
Member juice835

i mean how can anyone REALLY put this on at more than like a 1 basis pt position? sure everyone on this board is max skeptical of ai for whatever reasons but would anyone doubt this/compute prices can go parabolic and even if you're right you might/probably will get blown out of the water possibly temporarily? i don't think anyone knows how the ai compute buildout trajectory is going to ebb and flow but doesn't feel like the spend is slowing.

Subject Re: Re: good interview to watch that explains the model
Entry 10/27/2026 04:52 PM
Member pcm983

like i explained in the write-up, some of the recent ones barely got done - antrhopic barely got done and they conceded on yields. Elon is well elon, and even high paid a fairly high price relative to equity market value.

what's changed imo is they are gonna have trouble backfilling the equity tranche which they have been funding with unsecured parent debt which is no longer possible. also, who's to say lenders won't start asking for lower LTV's given the turmoil and increased risks, plus now elevated political risks.

I think the GS analysis is a fairly rosy case - assuming they draw down their entire revolver, and even then they are a few bn short. that doesn't account for costs that are going up and lenders potentially demanding lower ltv's. I think they likely need to raise $4-6bn to keep growth going from equity.

Subject Re: easier ways to make a living?
Entry 10/27/2026 04:54 PM
Member pcm983

i think puts is a better way to play - the iv is high, but in my view still underpriced - you have leverage at the spv level and the parent level, so its a turboleveraged equity instrument

Subject Re: Re: Re: good interview to watch that explains the model
Entry 10/27/2026 05:20 PM
Member Cries

It comes and goes in cycles with these leveraged credit structures. You get periods of tightening & widening. Widening can manifest as either pricing or LTV or terms. $100B is not indicative of "barely got done." Its more indicative of a extended negotiation occurring in a market that was repricing in realtime. "Barely got done" generally results in much smaller sizes and the equity sponsor needing to put up much more equity to complete the same-size project. Based on my read, this was just a pricing/terms negotiation.

The very interesting thing about these structures is how much excess cash flow there is based on the contractual cashflows coming in & going out. I think they could easily pay more spread to maintain the LTVs. I can also see a pullback in the recent loosening of the docs on these structures (like tenors going a year+ beyond the leases, which should be reigned in). None of these should make it impossible to print more.

Doesnt this just translate into more moderate contractual cashflows to the equity over the lifecycle of the SPVs (rather than it being an infinite money glitch in a world of 6% equity financing via the parent sub debt)? I actually think the prior equity pricing was sorta logical because it really was a glitch in the matrix where HY bond shops briefly lost their minds & were willing to hand infinite returns to the parent equity with zero collateral. But I also feel like today there will still be the existing cashflows + additional SPV cashflows accruing to the equity from future SPVs (which will simply be less profitable due to higher interest rates and less total leverage).

Subject Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/27/2026 07:19 PM
Member pcm983

i dont really get your argument - goldman whos is Coreweave's banker said they cannot raise new unsecured parent debt. so it seems like the growth mechanism is busted to me. maybe not totally broken but substantially impaired - they need to use less leverage and also issue more shares. i dont think the market is pricing that in at all

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Subject insider selling
Entry 10/27/2026 07:26 PM
Member pcm983

i forgot to add this to the write-up, but the insider selling here has been quite extraordinary. among the most rapid and voluminous i've seen for a new listing

just magnetar appears to have sold $6bn of stock

https://www.secform4.com/insider-trading/1352851.htm

Subject Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/28/2026 06:44 PM
Member Shoe

This is all circular logic. Bonds down so equity goes down, and vicious cycle. What if for whatever reason, bonds go up and equity goes up? Then it's fine again and then it's back to a virtuous cycle.

Rather than argue about where the stock and bonds are (which are volatile and who knows what they do day to day), look at the fundamentals: GPU and data center economics are great and only getting better; Old GPUs are still renting out for high prices; People can't get enough compute and are looking everywhere to get it.

As I said elsewhere, the same fiasco happened in January, then everything rallied and Coreweave issued a lot of debt.

Subject Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/28/2026 07:25 PM
Member pcm983

Did the debt markets shut for them in jan? My view is debt issuance is now equity issuance for all players including and especially coreweave

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Subject Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 08:52 AM
Member Shoe

OK, then raise equity, or prefs, or whatever. If the ROI and IRRs are good, raising equity is still a good idea.

If the ROI and IRRs aren't good, then it's a bad idea.

No one knows what the economics will look like in 4-5 years, but it looks good for now

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Subject Re: Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 10:38 AM
Member natty813

Can someone explain to me where the money is coming from to actually pay for all this compute? And please explain it to me like a 3rd grader. I've noted before - Shoe has been really good on understanding the dynamics of demand-

I know looking backwards is folly but Anthropic spent $8.9 billion on compute in the first half of the year. Yes, the X short-selling conspiracy group claims that they were given free compute and paid for compute with stock, blah, blah.

But seriously, where is the money coming from to pay for the compute to generate an acceptable IRR on this $1 trillion plus capex? I know there is DEMAND for the compute - but where are the dollars coming from?

Subject Re: Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 10:42 AM
Member JackBlack

That's the funny part here. We don't even know if the IRRs are positive on these deals. Doesn't really scream for a debt solution.

Subject Re: Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 02:36 PM
Member pcm983

my whole thesis is you raise equity and its massively dilutive for the business. it's pretty unclear if the project IRR's are actually above cost of capital, but we won't know for many years. the key is the growth was dependent on turboleverage, and I think that's no longer possible. the blitzscaling growth doesn't work if you have to continually raise equity

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Subject Re: Re: Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 03:04 PM
Member pcm983

venture capital mostly is my guess. there are tons of neolabs, random startups, etc. but yes its a great question - antrhopic only spending $20bn a year, maybe openai a bunch more - where is the rest? some have made a compelling case that there is no actual shortage of compute

https://x.com/0xkydo/status/2115357683276476918?a=BmoKJvGodXm4i1U_0ic&s=20

Subject Re: Re: Re: Re: Re: Re: Re: Re: good interview to watch that explains the model
Entry 10/29/2026 05:31 PM
Member Cries

Natty:

Well, I mean the demand dollars are easily visible in the Anthropic S-1 for closed models or through any of the LLM routing sites that publish token usage on open models. There are multiple of them like openrouter. But there are dozens of these platforms that are currently paying real dollars on a usage basis across all model types.

If you are asking where the upfront capex dolalrs are coming from (instead of demand dollars from end users), the answer is there are literally 100+ neocloud startups raising VC capital today to buy chips at infinite x valuation multiples. Many of them have no business at all today as they havent yet taken delivery of any AISCs or GPUs, but had to raise money to put down deposits to buy chips for delivery later. They have soft contracts from hyperscalers and AI labs (more of an IOI), but not fully papered leases until closer to the delivery date of the GPU/ASICs and they can prove via technical diligence that they have a working solution.

Subject Funding crunch
Entry 10/31/2026 09:28 AM
Member pcm983

https://www.wsj.com/finance/the-new-bottleneck-in-americas-ai-build-out-a-shortage-of-cheap-money-0c14c84d?st=9VhCCF&reflink=article_copyURL_share

Bankers cautioned in recent weeks that the high-yield market for neoclouds was essentially shut for new offerings. Yields of 15% or more would be prohibitively expensive for borrowers

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Subject Open AI $10bn cut
Entry 10/31/2026 11:56 AM
Member yellow

OpenAI slashes funding target by $10bn as tech anxieties mount - https://www.ft.com/content/7a3ad950-1b3b-4d9e-8c15-65a61ae6180f?shareType=nongift via @FT

Any educated guess on what impact could $10bn of OpenAI down payments have on the whole AI infrastructure chain?

If the GPU SPVs are being financed with 80% Loan-to-chip-value, then this would imply $50bn lower Nvidia revenue (assuming 100% of purchases are GPUs).

Nvidia quarterly revenue was $96bn in July quarter.

That sounds like potentially like a large cut into the AI hardware ecosystem, specially considering implications further down the funnel.

Open AI going cheaper precisely right now may not be a coincidence given the set up

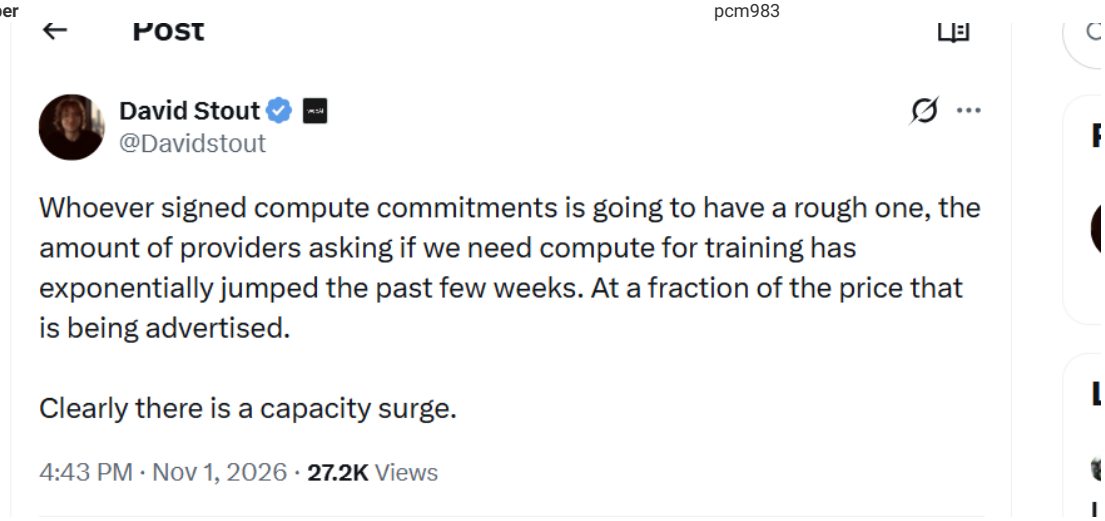
https://www.reuters.com/business/openai-plans-buy-googles-ai-chips-information-reports-2026-10-28/

Subject ackman comments
Entry 10/31/2026 02:38 PM
Member pcm983

https://x.com/firesidealpha/status/2116574135526817932?a=2yDWRlVtEHp3Zll9pZE&s=20

"So, I think it is sustainable because, you know, intelligence is again an enormously valuable asset. And I think the demand therefore for the compute that enables intelligence, I think, is going to be sustained." "And, you know, the companies that are, you know, the hyperscalers that are building out a lot of this infrastructure have the financial resources, the creditworthiness in order to access the capital." "I worry more about the pure play neocloud companies that are a bit like highly levered real estate developers playing a theme. I think they're much more at risk. They're much more sensitive to the cost of capital." "But you have, I mean, SpaceX, Elon on the earnings call gave some projections for how many gigawatts of data centers he was going to open. If he meets his objective, he might have to borrow a trillion dollars of capital." "So, you have companies competing at sovereign levels for debt. And the result is, you know, this massive, you know, more and more supply of debt. So, I don't see a world in which, you know, there's a dramatic, you know, there's a lot of demand for capital and a finite supply. So, I think that makes rates persistently high."

Subject supply glut
Entry 11/01/2026 08:00 PM
Member pcm983



Subject Re: supply glut
Entry 11/01/2026 10:24 PM
Member Shoe

On the other hand, pretty much every public company is talking about shortages, and all the data are showing strength

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Subject Re: Re: supply glut
Entry 11/02/2026 05:19 AM
Member ahnuld

I mean you can just look at spot prices at all the major providers. Pricing is still insanely expensive. Its possible 2-3 year long term contract prices are falling, I have no visibility into that. But as someone who often gets spot inference, its as tight as ever.

Subject Re: Re: supply glut

Entry 11/02/2026 11:01 AM
Member pcm983

which public companies? and which data?

Subject Re: Re: Re: supply glut
Entry 11/02/2026 11:02 AM
Member pcm983

i dont think thats dispositive here because spot is a tiny fraction of overall market, and there is a huge incentive to list it higher

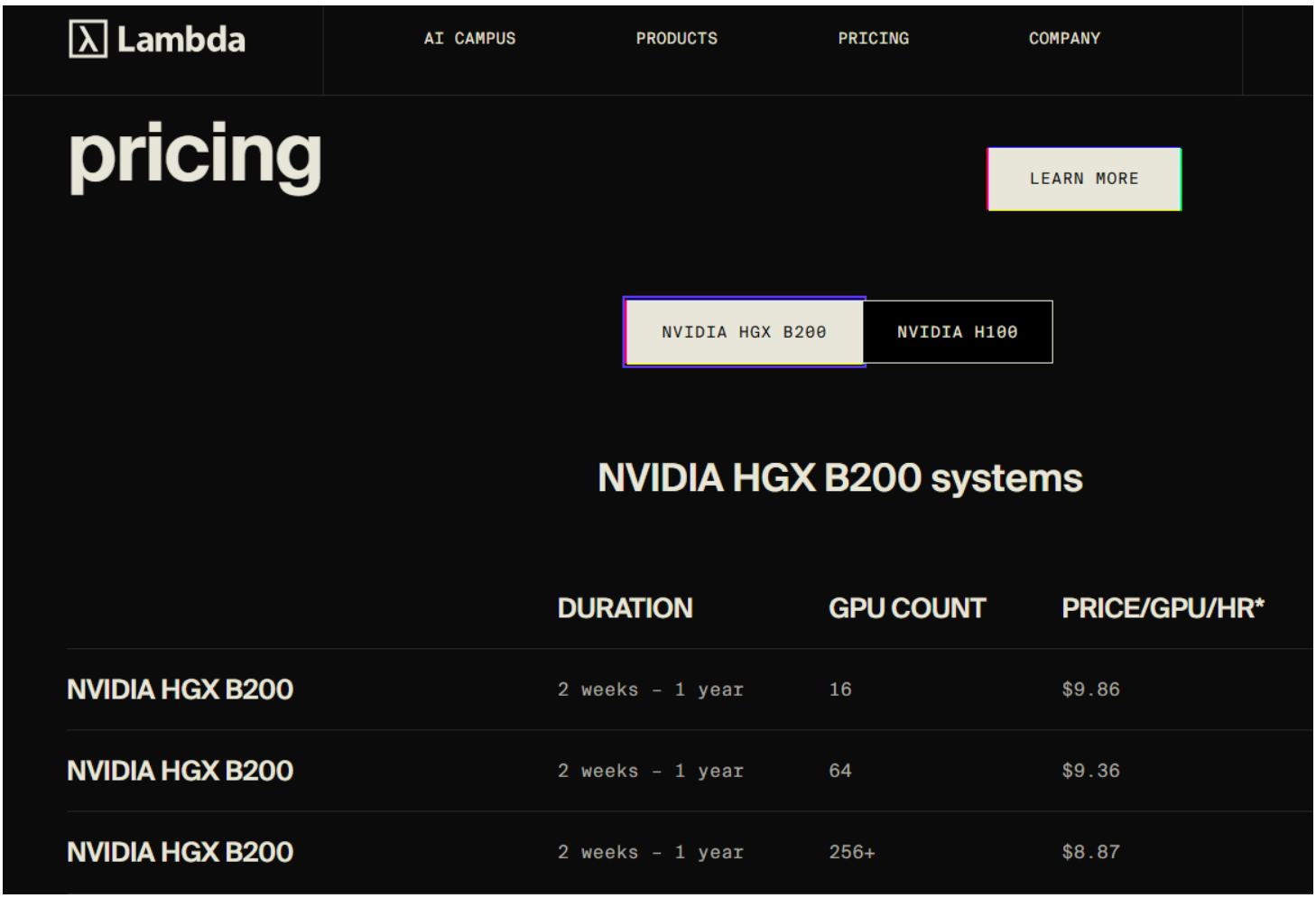
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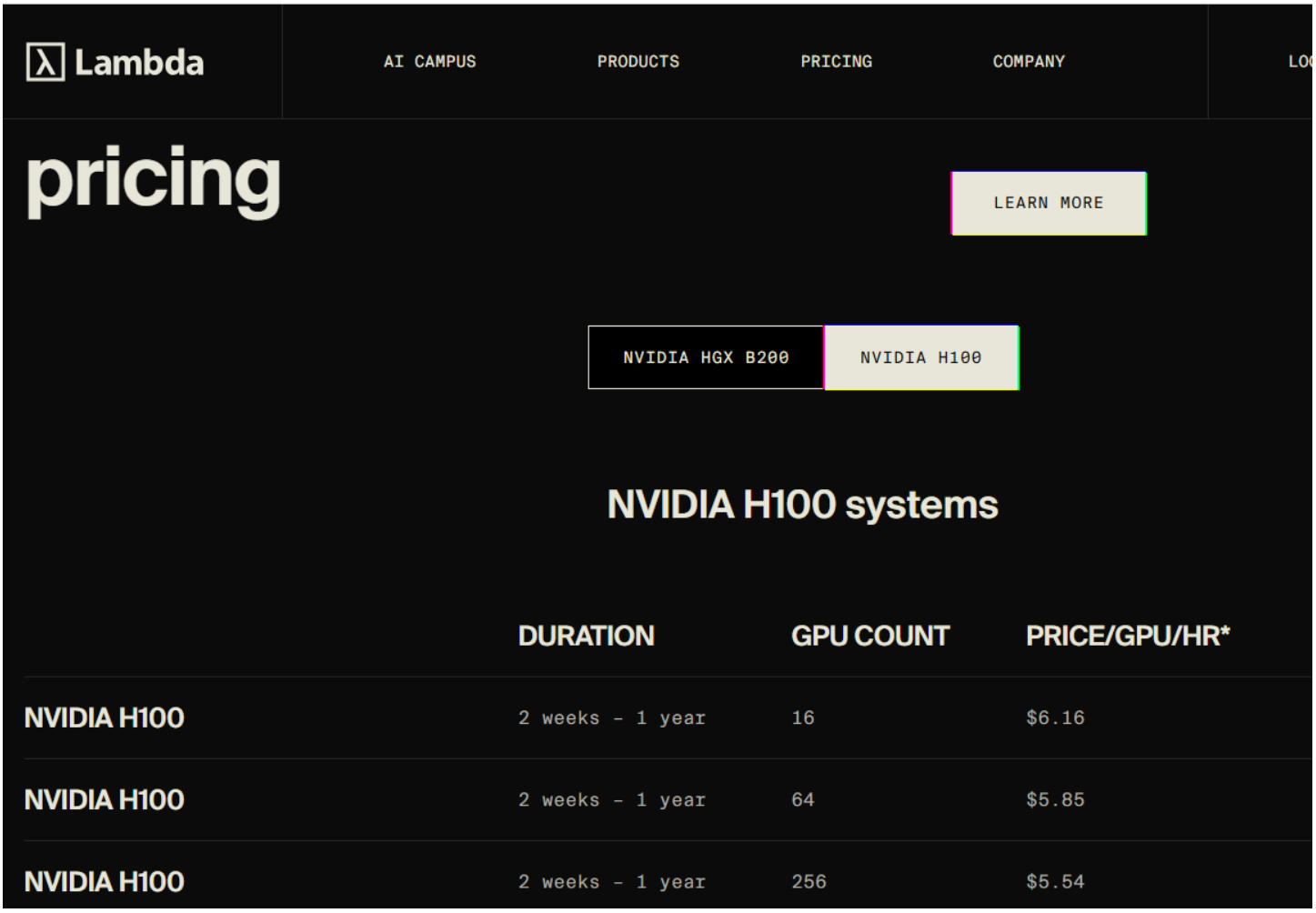
Subject Re: Re: Re: Re: supply glut
Entry 11/02/2026 11:44 AM
Member ahnuld

you think the 10-20 spot instance providers are lying or collaborating to keep short term prices high? I mean if they can form a cartel and do that im all in long on these guys.

in reality, its just not enough supply right now. I dont know when the market balances but its not 2026.

This is live btw:




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$5.54